BUSINESS HIGH-Level Assessment Exam #3 (2026-SM1)

PRACTICE TEST B

Covering: Unit 2, LPs 2-1, 2-2, 2-3 and 2-4

STUDENT NAME:_____PERIOD:_____

WRITE HONOR CODE/ STUDENT SIGNATURE BELOW:

_____

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STUDENT SIGNATURE: _____

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1) Inelastic Demand is defined as: (True/False)
A small or no change in the demand of a product or service, based on the change of an economic factor, like price.
TRUE FALSE

MATCH the FOLLOWING elasticity terms:

- Elasticity
- Price Elasticity
- Elastic Demand

2)_____: A measure of the sensitivity or responsiveness of supply or demand to changes in economic factors, like price

3)_____: The degree to which the demand for a product changes based on changes in its price

4)_____: A large change in demand when price changes (Pepsi raises its price, people switch to Coke)

5) When the PRICE of an item goes DOWN:

A) Demand goes up, supply goes down
B) Demand goes down, supply goes up
C) Supply and demand both go up
D) Nothing changes

6) 50 slices of pizza are made, and all 50 sell at $3 each. What is the equilibrium price?

A) $50
B) $3
C) $150
D) $1.50

7) TRUE / FALSE _____ Equilibrium is rarely "at rest"; buyers, sellers and competitors keep changing it.

8) TRUE / FALSE _____ A surplus gives SELLERS the advantage.

9) Housing after the Great Recession of 2008, when home prices fell, was a:

A) Seller's market
B) Buyer's market
C) Monopoly
D) Shortage

10) Which of the following is NOT an example of inelastic demand?

A) Gasoline
B) Cigarettes
C) Salt
D) Soft drinks

11) TRUE / FALSE _____ In a free market, supply and demand set production, wages and prices, with little or no government regulation.

12) Economics is about human behavior and:

A) Money only
B) The choices we make
C) The government only
D) The stock market

MATCH the FOLLOWING:

- Microeconomics
- Macroeconomics

13)_____: The study of behavior and decision-making of individuals and businesses in an economy

14)_____: The study of the behavior, performance, structure and decision-making of an economy as a whole

15) TRUE / FALSE _____ Opportunity cost is the choice between two things you can't have at the same time.

16) You can afford a bike OR a phone, and you choose the phone. The bike is your:

A) Trade-off
B) Opportunity cost
C) Economic need
D) Utility

17) TRUE / FALSE _____ The 3 questions all societies answer are: what, how, and for whom.

*** MATCH the FOLLOWING industrial products:**

- Materials
- Parts
- Capital Items
- Supplies
- Services

18)_____: Long-term assets: factories, warehouses, trucks

19)_____: Short-term, day-to-day items: paper, pens, paint

20)_____: Farm products (eggs, cheese) and natural products (oil, gas, gold, silver)

21)_____: Inputs that go into the finished product: yarn, nails, aluminum

22)_____: Professional and maintenance work: accountants, lawyers, window cleaners, AC repair

23) TRUE / FALSE _____ Farm products can be reproduced; natural products cannot.

24) Which of the following is an ECONOMIC SERVICE?

A) A phone
B) Timber
C) A haircut
D) Coal

25) TRUE / FALSE _____ An economic good is intangible.

26) Ford and Apple, using products to make other products, are:

A) Ultimate consumers
B) Industrial users
C) Retailers
D) Wholesalers

*** MATCH the FOLLOWING parts of GDP:**

- Total Market Value
- Final Goods/Services
- Country's Borders

27)_____: Measured in dollars, not quantity (10 rackets sold for $5,000 counts as $5,000)

28)_____: Finished products only: the chair counts, not the lumber inside it

29)_____: Any output within a country's borders, no matter who owns the company

30) TRUE / FALSE _____ A trade deficit is when a country's imports exceed its exports.

31) Which of the following is a NONDURABLE good?

A) A TV
B) A car
C) Coffee
D) A soccer ball

32) TRUE / FALSE _____ Productivity = goods and services produced (output) / input (labor, capital, other resources).

33) The central bank of the United States is:

A) The Treasury
B) The Federal Reserve ("the Fed")
C) Wall Street
D) Congress

SCENARIO ANALYSIS: Evaluate the situation, then create a solution/resolve.

SCENARIO 1: Gas and soda

Gas goes from $4 to $6 a gallon, and commuters keep buying about the same amount. A soft drink company raises its 12-pack from $8 to $16.

34) EVALUATE: Which product has elastic demand and which has inelastic demand? Why? **(3 points)**

35) CREATE A SOLUTION: What should the soft drink company do with its price, and why? **(2 points)**

SCENARIO 2: Las Vegas real estate

In 2020, mortgage rates hit record lows. Buyers lined up for homes, but few homes were for sale.

36) EVALUATE: Is this a buyer's market or a seller's market? Is there a surplus or a shortage? **(2 points)**

37) EVALUATE: Who has the advantage in price negotiations, and what would turn it into a buyer's market? **(2 points)**

SCENARIO 3: Country Y

Country Y exports $80 billion of goods and imports $130 billion. Its consumers also bought a record number of new cars and TVs this year.

38) EVALUATE: Find Country Y's net exports. Is it a trade surplus or a trade deficit, and what does that mean? (Show your work.) **(3 points)**

39) EVALUATE: Which GDP category are the cars and TVs, and are they durable or nondurable? **(2 points)**

SCENARIO 4: Phone repair

Maria opens a phone repair shop next door to a store that sells new phones.

40) EVALUATE AND RESOLVE: Is phone repair an economic good or an economic service? Name its characteristics. **(3 points)**

ANSWER KEY: PRACTICE TEST B

Questions 1-33 (multiple choice, matching, true/false) are 1 point each. The scenario analysis, 34-40, is worth 17 points. Total: 50 points.

1) TRUE. Gas, cigarettes, salt.
2) Elasticity.
3) Price Elasticity.
4) Elastic Demand.
5) A) Demand goes up, supply goes down. Price down: demand up, supply down (it sells out).
6) B) $3. Equilibrium price $3, equilibrium quantity 50.
7) TRUE.
8) FALSE. A surplus (excess supply) is a buyer's market.
9) B) Buyer's market. Excess supply, prices fell: buyers had the advantage.
10) D) Soft drinks. Soft drinks are elastic: people switch brands.
11) TRUE.
12) B) The choices we make. Economics is about human behavior: the choices made.
13) Microeconomics. I = individual.
14) Macroeconomics. A = all.
15) FALSE. That is a trade-off. Opportunity cost is what you gave up.
16) B) Opportunity cost. The choice is the trade-off; the option you gave up is the opportunity cost.
17) TRUE.
18) Capital Items.
19) Supplies.
20) Materials.
21) Parts.
22) Services.
23) TRUE. Natural products are finite.
24) C) A haircut. A service is intangible. The other three are goods.
25) FALSE. A good is tangible; a service is intangible.
26) B) Industrial users.
27) Total Market Value.
28) Final Goods/Services.
29) Country's Borders.
30) TRUE.
31) C) Coffee. Nondurable goods are quickly consumed.
32) TRUE.
33) B) The Federal Reserve ("the Fed").

SCENARIO 1: Gas and soda

34) (3 points) Gas is inelastic (a necessity). The soft drink is elastic (easy substitutes).
- 1 point: gas: inelastic demand (a necessity; you need it to get to work or school).
- 1 point: the soft drink: elastic demand.
- 1 point: why: soft drinks have easy substitutes (people switch to Coke or another brand); gas has no good alternative.

35) (2 points) Bring the price back down: with elastic demand, customers switch to a competitor when the price doubles.
- 1 point: lower the price back down (stay competitive).
- 1 point: elastic demand: at the higher price customers switch to competitors, so sales fall.

SCENARIO 2: Las Vegas real estate

36) (2 points) A seller's market caused by a shortage (excess demand).
- 1 point: seller's market.
- 1 point: shortage: demand exceeds supply (excess demand).

37) (2 points) Sellers have the advantage. More homes than buyers (a surplus) would make it a buyer's market.
- 1 point: sellers (real estate agents could set prices).
- 1 point: excess supply: more homes for sale than buyers (a surplus), like after 2008.

SCENARIO 3: Country Y

38) (3 points) -$50 billion: a trade deficit. It pulls GDP down and shows reliance on other countries.

- 1 point: net exports = exports - imports = $80 billion - $130 billion = -$50 billion.
- 1 point: trade deficit: imports exceed exports.
- 1 point: it lowers GDP and shows the country relies on other countries.

39) (2 points) Private consumer spending; durable goods.

- 1 point: private consumer spending (C).
- 1 point: durable goods: they last a long time (about three years or more).

SCENARIO 4: Phone repair

40) (3 points) An economic service: intangible, has utility, scarce, transferable.

- 1 point: an economic service (the phone store sells a good).
- 1 point: intangible: no physical item to own.
- 1 point: has utility, is scarce, is transferable.